

reduced pie. The next year it would fall to around 33 per cent. In the following years, most brokerages would earn a substantial chunk of their revenues from their NBFC (lending) business rather than from stockbroking.

The bear market of 2008 brought the high-flying promoters of many mid-cap companies down to earth, or down on their knees, as would be the more apt phrase in many cases. When the market was booming, these promoters had resorted to all kinds of tricks to ensure that their companies made it to the list of securities eligible for futures and options trading. To make the cut, the stocks had to have a minimum market capitalization, and specified minimum daily volumes for a specified period. The promoters would rope in a bull operator, and together they would ensure the stock fulfilled the criteria to make it to the F&O list. For many promoters, their stock being in the F&O list helped them manipulate prices and make a killing from time to time. These promoters used to throw grand parties on the day the inclusion of their companies in the haloed list was announced. I had myself been to at least half a dozen such parties.

Typically, the promoters, in collusion with a market operator, would corner a sizeable quantity of the company's shares, pushing up the stock price. As the stock price climbed, so would the futures price. Many traders would short-sell the futures, betting that the rise in stock price was not sustainable. But since most of the shares had already been hoarded, the stock price would stay firm, and so would the futures prices. For good effect, the operator would buy some more shares closer to the settlement day of the derivatives contracts, further driving up the futures prices. Eventually, the traders who had short-sold the futures would have to cover up their positions, and this would further drive up the futures price and further increase their losses. Some of the traders with deep pockets would carry forward their short positions to the next settlement cycle, hoping that prices would move in their favour. But so long as the promoter-operator duo controlled the floating stock, short-sellers stood little chance of winning.

In a bear market, however, the presence of these stocks on the F&O list made it easier for bears to hammer their price. The short-sellers would target companies whose promoters they knew were facing liquidity problems. The bears would then get down to short-selling the futures in a big way. Once the futures prices started to buckle under the onslaught of the relentless selling, the spot price too would move down in tandem. The